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Attorneys for Respondent Paul Knott

FEDERAL MARITIME COMMISSION

WCG GROUP, LLC, dba Aitoh Co.,

Claimant,

v.

CHRIS PHILLIPS, and individual, and
PAUL KNOTT, and individual,

Respondents.

**RESPONSE TO MAY 17, 2024 ORDER
TO PROVIDE ADDITIONAL
DOCUMENTS AND INFORMATION**

Docket No. 1999(F)

Pursuant to 46 C.F.R. § 502 *et. seq.*, including § 502.314, Respondent Paul Knott (“Mr. Knott”), through counsel, hereby files this Response to May 17, 2024 Order to Provide Additional Documents and Information.

REQUESTS TO RESPONDENT PHILLIPS AND RESPONDENT KNOTT

REQUEST NO. 1. Provide documents reflecting your agreement with Claimant for the transportation at issue, including emails if available. Please provide the documents regardless of whether the agreement was made with InXpress or with you as an individual.

RP RESPONSE: Respondent produces herewith nonprivileged documents bates stamped KNOTT00001-KNOTT00013 that are responsive to this request.

REQUEST NO. 2(a). What roles did InXpress Americas, InXpress NY, Ocean Network Express (“ONE”) and Ex-Freight play in the transportation of the cargo at issue?

RP RESPONSE: InXpress Americas is the Franchisor. InXpress NY is a franchisee of InXpress that worked with the Claimant. The Claimant completed and signed an Account Application and Payment Authorization with InXpress. *See* KNOTT00001. One, with the vessel MV ONE APUS 006E/W, was the actual carrier of the goods for Claimant. (*See* December 8, 2020 correspondence from One in Claimant's Notice of Filing of Small Claims Complaint and Assignment ("Complaint")). Ex-Freight is the broker.

REQUEST NO. 2(b). Explain the corporate and business relationship between InXpress Americas and InXpress NY, including how each entity was involved in the effort to file a claim after the ocean-carrier's alleged loss of Aitoh's goods.

RP RESPONSE: There is a franchisor/franchisee relationship between InXpress and InXpress NY. Upon information and belief, InXpress NY worked with Claimant related to filing a claim for the loss of goods, and Ex-Freight was the broker responsible for hiring ONE. ONE acknowledged losing 1,816 containers overboard in their letter dated December 8, 2020 (*See* letter included in the Complaint). Furthermore, Claimant filed a Cargo Loss & Damage Claim with Ex-Freight. (*See* Cargo Loss & Damage Claim Form attached to the Complaint). According to the Account Application and Payment Authorization between InXpress and Aitoh (the "Company"), "Company understands that any service failures, late freight deliveries or damage claims are handled directly by the carrier." *See* KNOTT00001. Claimant did not contact InXpress until approximately March 6, 2023. (*See* emails in Claimant's Complaint) and KNOTT00043-KNOTT00046.

REQUEST NO. 3. Explain why you believe ONE and Ex-Freight are indispensable to this proceeding. Provide evidence, including documents, supporting your answer.

RP RESPONSE: There is no dispute that ONE, the carrier, lost the cargo along with 1,816 containers, according to Claimant's Complaint and the letter from One. *See* Letter from One in

the Complaint. Furthermore, Claimant has alleged that it re-submitted a claim with Ex-Freight via email, highlight the fact that the claim itself was presumably a duplicate of an existing claim. *See* Complaint at III A. and VI. By not joining both ONE and Ex-Freight, Respondent Knott is “subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations because of the interest.” *See* Fed. R. Civ. P. 19(a)(1)(B)(ii). *See also* Respondent Knott’s Memoranda in Support of Motion to Dismiss Small Claims Complaint filed December 26, 2023. Upon information and belief, both ONE and Ex-Freight have relevant information to the claims and defenses in this case, including whether both are liable for the loss of the goods.

REQUEST NO. 4. Provide the house bills of lading, master bills of lading, dock receipt, and other shipping documents for the transportation at issue.

RP RESPONSE: Respondent produces herewith nonprivileged documents bates stamped KNOTT00014-KNOTT00018 that are responsive to this request.

REQUEST NO. 5. Did InXpress Americas or InXpress NY file a cargo loss or damage claim for Claimant’s cargo? If yes, what was the outcome? Provide evidence supporting your answer. If no, why not? Provide any documents that you as an individual or InXpress as a business filed with any entity regarding the Aitoh cargo loss.

RP RESPONSE: Respondent produces herewith nonprivileged documents bates stamped KNOTT00019-KNOTT00048 that are responsive to this request. In March 2023, after receiving notification from the Claimant, InXpress, through Steve Chisholm, LTL Freight Operations Director for InXpress, reached out to Chris and understood that Chris had been following up with Ex-Freight and said he would get with the customer once he heard back from Ex-Freight. In addition, Chris has been in contact with Ex-Freight.

DATED this 14th day of June, 2024

KIRTON McCONKIE

/s/ Ryan C. Cadwallader

Ryan C. Cadwallader

Attorneys for Respondent Paul Knott

(Verification Page Follows)

Verification

I verify under penalty of perjury that the foregoing responses are true and correct to the best of my knowledge, information and belief.

DATED this 14th day of June, 2024.

A handwritten signature in black ink, appearing to read 'Paul Paquette', written over a horizontal line.

Paul Paquette
CCO InXpress Americas

CERTIFICATE OF SERVICE

I hereby certify that I have this 14 day of June, 2024 served the foregoing document upon
the below parties of record as follows:

WCG Group, LLC dba Aitoh Co.
2720 Mountain Pine Rd.
Hot Springs, AK 71913
Claimant
carlo@aitoh.com

(Email)

Chris Phillips
16 Robin Ln
Wappingers Falls, NY 12590
Chris.phillips@inxpress.com
Respondent

(Email)

/ Terri L. White